



The capital market

The capital market is a global financial marketplace for trading long-term securities—bonds with a maturity of at least a year, and shares. It is where governments and businesses can raise funds and investors make money.

How it works

There are two types of product sold on the capital market: shares (equity) and bonds (debt investments). Shares and bonds are sold first on the primary market, where they are originally issued, and later traded on the secondary market. The capital market is crucial to a functioning economy, because it channels funds

to users of capital, such as businesses and government, and capital is what enables goods and services to be produced. The original issuers of the shares and bonds do not gain from trading activity in the secondary market, which is purely for investors. However, share value and bond trading levels reflect confidence in a company or institution, reinforcing its financial position.

The structure

The capital market encompasses the debt capital market, where bonds are sold, and the stock exchange, where shares are sold. Both have a primary and a secondary market.

